As Corrales points out, however, the system violates International Labor Organization regulations that prohibit the confiscation of wages.[19]

Even though salaries came through the government, in pesos, employment in the foreign sector brought benefits for workers. Employers often supplemented wages with perks like food items and sundries difficult to obtain in the peso economy, as well as with more expensive gifts and dollars.[20] In some key sectors like mining and construction, employers could make supplemental payments legally in dollars or convertible pesos. Many foreign employers in other sectors unofficially paid workers part of their salary in dollars.[21] Foreign sector employment also, unlike self-employment, included state benefits like unemployment insurance and pension.

Starting in 1994, the government began to pay hard currency bonuses to state workers in key industries including tourism, mining, electricity, ports, and tobacco. About a quarter of Cuba's workers were receiving these cash bonuses in 2000, and even more were receiving in-kind benefits.[22] Foreign enterprises offered the same kinds of perks, in even larger sums.[23]

While most Cuban analysts, as well as U.S. scholars like Eckstein and Feinsilver, emphasize the continuing commitment to socialism despite Cuba's reforms, Corrales draws the opposite conclusion. "It is not socialist … because the state is now the guarantor, in fact, the generator, of enormous inequalities: the state determines who has access to the thriving state-external sector; everyone else is either a loser or a mere survivor. The state is thus directly responsible for the rise of inequality in Cuba." The current system does not distribute society's good equally or fairly; rather it serves to benefit "a small winning coalition."[24]

Charting New Territory

Another set of reforms harked away from Soviet-style centralism and industrialization – Eckstein called them "precapitalist," although some of them might just as usefully be termed "post-capitalist/post-socialist"